

7.

CASE #	CASE NAME	HEARING NAME
CVPS2600012	PEARCE VS ELLENZ	MOTION FOR TO COMPEL FURTHER RESPONSES TO REQUEST FOR PRODUCTION, SET TWO AS TO DEFENDANT ANTHONY ELLENZ

Tentative Ruling: No tentative ruling. Hearing is continued.

8.

CASE #	CASE NAME	HEARING NAME
CVPS2600012	PEARCE VS ELLENZ	MOTION FOR LEAVE TO AMEND 2ND AMENDED COMPLAINT OF KENT PEARCE BY KENT PEARCE

Tentative Ruling: No tentative ruling. Hearing is continued to 10.06.26 to be heard in conjunction with the Motion for Preferential Trial Setting.

Plaintiff failed to submit a copy of the proposed amended complaint. The Motion filed on 8.03.26 indicates that the proposed Third Amended Complaint was attached as Exhibit 3, but it is omitted from that Motion.

Plaintiff directed to file the proposed Third Amended Complaint with the court by 9.28.26. No further briefing shall be permitted.

9.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	DEMURRER ON 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF AUDREY LITTLE BY OAKTREE FUNDING CORPORATION

Tentative Ruling: A demurrer tests the legal sufficiency of the pleading and admits all material facts properly pleaded, but not contentions, deductions, or conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The complaint is given a reasonable interpretation and read as a whole, with its parts in context. (*Id.*) A demurrer lies where the pleading fails to state facts sufficient to constitute a cause of action or is uncertain (CCP § 430.10.) Leave to amend should be granted if there is a reasonable possibility the defect can be cured, and the burden of showing that possibility rests with the plaintiff. (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967; *Blank*, supra, 39 Cal.3d at 318.)

Defendants Rocket Close, LLC and Rocket Companies, Inc demurrer to the 1st, 3rd, 4th, 6th-9th and 11th Causes of Action.

Rocket Close Only: 1st, 3rd, 4th, and 6th Causes of Action for Breach of Contract, Escrow Instructions, Fiduciary Duty and Professional Negligence:

Renewed Demurrer to the 1st, 3rd, and 4th Causes of Action:

Rocket Close demurs anew to the First (breach of contract), Third (breach of escrow instructions), and Fourth (breach of fiduciary duty) Causes of Action of the TAC,

which correspond to claims the Court overruled on May 28, 2026 on the SAC. Relying on *Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1036 and *Pacific States Enterprises, Inc. v. City of Coachella* (1993) 13 Cal.App.4th 1414, 1420 fn.3, Rocket Close argues that a renewed demurrer is permissible where an amended pleading materially changes a previously challenged cause of action. On that footing, it argues that the TAC's paragraphs 25 through 45 add new post-SAC allegations regarding its alleged pre-closing knowledge and a new punitive and/or managing agent ratification section incorporated into each cause, and that those additions revive the ability to demur.

Plaintiff invokes *Bennett v. Suncloud* (1997) 56 Cal.App.4th 91 as the more direct later authority. *Bennett* held that once a demurrer to a cause is overruled, a later judge is "foreclosed from rendering a new determination on the viability of th[at] claim[] unless some new facts or circumstances [are] brought to his attention." (*Id.* at 96–97.) Plaintiff observes that *Berg* itself quotes and confines *Bennett* by reference to the situation before it, where the prior demurrer had been sustained rather than overruled. Plaintiff also offers a SAC/TAC comparison chart to show that the TAC introduces no new facts or circumstances bearing on the grounds the Court previously overruled.

Even under *Berg*'s more permissive framing, redetermination requires a material change to the previously overruled ground. No such change appears here. Plaintiff's chart establishes that the TAC does not alter the analytical basis on which the Court previously overruled the demurrer on privity and third-party beneficiary grounds. Rocket Close does not dispute the narrowing itself. It argues only that any material change subjects the cause to renewed challenge. The TAC's supplemental allegations (the May 15 title report and the "No Change" escrow-log entry) are additive evidentiary facts that reinforce, rather than displace, the third-party beneficiary, escrow-principal, and fiduciary-duty theories on which the Court previously overruled the demurrer. (TAC ¶¶ 25–26.) The elements, defendants, instruments, pleaded duties, and alleged breach for the First, Third, and Fourth Causes of Action are unchanged from the SAC on the challenged grounds. (TAC ¶¶ 46–50, 57–59, 60–63.)

6th Cause of Action for Professional Negligence/Negligence in the Alternative:

Rocket Close argues that (1) it owed Plaintiff no independent duty of care as escrow holder, and (2) the claim is barred by the economic loss rule. Plaintiff pleads negligence in the alternative, on the theory that Rocket Close mishandled the May 15 title report and the "No Change" escrow-log entry, and thereby caused Plaintiff economic harm arising from a noncompliant closing.

Duty. Rocket Close disputes that it owed Plaintiff any independent tort duty as escrow holder. The Court need not reach that question because the claim independently fails under the economic loss rule.

Economic Loss Rule. In *Sheen v. Wells Fargo Bank* (2022) 12 Cal.5th 905, the California Supreme Court held that tort claims between parties in a contractual relationship "are barred when they arise from—or are not independent of—the parties' underlying contracts." (*Id.* at 923.) The negligence cause here is not independent of the contract, escrow, and fiduciary duty causes. It rests on the same transactional predicate—the May 15 title report, the "No Change" escrow-log entry, and the July 14–15 disbursement and recording—that supplies the First, Third, and Fourth Causes of Action. Every category of harm Plaintiff attributes to Rocket Close (payments, fees, credit damage, refinance lockout, increased debt) is purely economic. There is no allegation of personal injury or of harm to property independent of the transaction.

Robinson Helicopter Co. v. Dana Corp. (2004) 34 Cal.4th 979 does not save the claim. That exception preserves an independent tort where the defendant's conduct exposes the plaintiff to injury or liability distinct from disappointed contractual expectancy. (*Id.* at 984.) Here, the pleaded harm is the transactional expectancy itself. The escrow did not close as instructed, and Plaintiff seeks the resulting economic consequences, which are financial consequences of the same transaction and not the kind of independent harm the *Robinson Helicopter* exception requires. The First, Third, and Fourth Causes of Action already provide the contract-based avenues for that recovery. The Sixth Cause of Action is duplicative on the contract side and barred by *Sheen* on the tort side.

Leave to Amend. This Court sustained the demurrer to the SAC's professional negligence/negligence cause of action with leave to amend, thereby affording Plaintiff an opportunity to cure the defect. On the TAC, Plaintiff has pleaded the same economic harms arising from the same escrow conduct, and has not identified any non-economic injury that would remove the claim from *Sheen*'s bar. The burden of showing a reasonable possibility of amendment rests with Plaintiff, and Plaintiff has not carried it. (*Blank, supra*, 39 Cal.3d at 318.) Nor could she, because the *Sheen* bar is a legal defect that no proffered fact would cure. (*Id.*)

7th Cause of Action for Fraudulent Concealment/Deceit by Suppression as to Rocket Close and Rocket Companies:

Rocket Close argues that no duty to disclose ran from it to Plaintiff, that Plaintiff cannot claim ignorance of the Resnick deed of trust she signed before a notary, that fraud against a corporate defendant must be pleaded with particularity, and that all three fraud causes are independently barred by the economic loss rule.

Plaintiff responds that Rocket Close acted as escrow/settlement agent, possessed the May 15 title report identifying the Resnick deed of trust, logged the file "No Change," and disbursed and recorded on July 14–15 without disclosing that the escrow could not be performed as written. Plaintiff invokes disclosure duties based on fiduciary role, exclusive knowledge, active concealment, and partial representations, and relies on *Rattagan v. Uber Techs., Inc.* (2024) 17 Cal.5th 1, as the controlling economic loss rule test for fraudulent concealment.

Economic Loss Rule. The Court need not resolve the duty question because the Seventh, Eighth, and Ninth Causes of Action are independently barred by the economic loss rule. As discussed in connection with the Sixth Cause of Action, tort claims between parties in a contractual relationship "are barred when they arise from—or are not independent of—the parties' underlying contracts." (*Sheen, supra*, 12 Cal.5th at 923.) All three fraud causes rest on the identical transactional predicate as the First, Third, and Fourth Causes of Action. Each turns on possession of the May 15 title report, the "No Change" escrow-log entry, and the July 14–15 disbursement and recording. The damages pleaded are also financial consequences of the same transaction, not the kind of independent injury the *Robinson Helicopter* exception requires. Plaintiff alleges a transaction she would not have entered, a recorded encumbrance and payment obligations, lost refinance and sale ability, forced sale and credit exposure, and "economic, credit, and related damages according to proof." (TAC ¶¶ 87, 92.) *Sheen* therefore bars the Seventh, Eighth, and Ninth Causes of Action as pleaded.

Rattagan does not change the result on this pleading. *Rattagan* permits a fraudulent concealment claim to proceed only where the elements can be established independently of the parties' contractual rights and obligations and the tortious conduct

exposes the plaintiff to a risk of harm beyond the parties' reasonable contemplation when they entered the contract. (*Rattagan, supra*, 17 Cal.5th at 13.) The alleged concealment here is not independent of the contract and escrow framework. It is the very course of performance under that framework, recharacterized as fraudulent suppression. That course of performance consists of title handling, the "No Change" escrow-log entry, and the closing, disbursement, recording sequence. The alleged harm is the same disappointed transactional expectancy the contract and escrow causes address. *Rattagan's* exception therefore does not save the Seventh, Eighth, and Ninth Causes of Action from *Sheen's* bar.

8th Cause of Action for Fraudulent Inducement (Rocket Close only):

The Eighth Cause of Action fails for the additional reason that the representations Plaintiff identifies are the second-lien recordation and final QC requirements in Oaktree's Specific Closing Instructions. Those are lender-to-settlement-agent underwriting conditions and cannot simultaneously be pleaded as the basis for the First and Third Causes of Action and as representations made to induce Plaintiff's reliance on Rocket Close. Similar to the SAC, the TAC still alleges no pre-closing interactions between Plaintiff and Rocket Close and no basis on which Plaintiff changed her position in reliance on anything Rocket Close said or did. In any event, the economic loss analysis above independently disposes of the claim.

9th Cause of Action for Post-Notice Concealment/Ratification as to Rocket close and Rocket Companies:

The TAC pleads no pre-closing role for Rocket Companies and limits its exposure to "post-notice ratification" based on the Chief Executive Officer's receipt of written notice and designation of an executive to review the matter. Fraud against a corporate defendant requires facts showing what was said or done, by whom, and with what authority. (*Lazar v. Sup. Ct.* (1996) 12 Cal.4th 631, 645.) Passive routing of a customer escalation, without an identified affirmative misrepresentation or concealment by an identified agent, does not state a fraud claim. Plaintiff's alternative agency and ratification theories under Civ. Code §§ 2307 and 2338 do not cure that defect. (See Pl.'s Opp. 7:21–24.) Those theories can attach a corporate parent to an agent's tortious act, but they cannot manufacture an affirmative act of fraud where none is pleaded. And because the underlying fraud claims against Rocket Close fail for the reasons stated above, the derivative theories against Rocket Companies fail with them.

Leave to Amend. This Court sustained the demurrer to the SAC's single fraudulent inducement by concealment cause of action with leave to amend, affording Plaintiff an opportunity to cure the defects. On the TAC, Plaintiff has multiplied that single cause into three separately captioned fraud causes resting on the same transactional predicate. Plaintiff still does not allege pre-closing interactions with Rocket Close on which she relied, and now runs into the additional bar of the economic loss rule. The burden of showing a reasonable possibility of amendment rests with Plaintiff, and Plaintiff has not carried it. (*Blank, supra*, 39 Cal.3d at 318.) As to the Seventh and Eighth Causes of Action, the defect is legal because *Sheen* bars the tort recharacterization of contract performance, and no proffered fact would remove the claims from that bar. As to the Ninth Cause of Action, "post-notice concealment/ratification" is not a recognized independent tort, and no amendment can convert an unrecognized cause into a viable one. In either case, there is no reasonable possibility of amendment. (*Id.*)

11th Cause of Action for UCL Violation as to Rocket Close and Rocket Companies:

Rocket Defendants argue Plaintiff lacks standing under Bus. & Prof. Code § 17204, that the unlawful and unfair prongs fail because the underlying predicate claims fail, and that a single private refinance transaction does not establish a fraudulent business practice likely to deceive the public.

Plaintiff responds that the TAC pleads economic injury sufficient under *Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 322–323, that alleged failure to comply with escrow instructions supports the unfair prong at the pleading stage, and that whether the conduct reflects a recurring practice is a proof issue.

Standing. UCL standing requires economic injury caused by the challenged conduct. (Bus. & Prof. Code § 17204; *Kwikset, supra*, 51 Cal.4th at 322.) The escrow, premium, and settlement charges Plaintiff identifies are charges she would have incurred in any properly closed second-lien transaction, and are therefore not the result of Rocket Defendants' alleged wrongful conduct. The TAC's added categories, such as credit damage, refinance lockout, increased debt, service interruptions, caregiver loss, and forced-sale/equity pressure, are pleaded as consequences of post-notice billing, collection, and enforcement conduct attributed to Oaktree and its servicer, not to Rocket Close or Rocket Companies. (TAC ¶¶ 34–35, 94–97, 105, 111–15.) Plaintiff has not traced a qualifying economic injury to conduct attributable to Rocket Defendants. Plaintiff therefore lacks UCL standing as to Rocket Defendants.

Unlawful and Unfair Prongs. Both prongs are derivative of Plaintiff's other claims against Rocket Defendants. Because the Sixth and Eighth Causes of Action against Rocket Close, and the Seventh and Ninth Causes of Action against Rocket Defendants are sustained without leave for the reasons stated above, no surviving predicate remains to support either the unlawful or the unfair prong.

Fraudulent Prong. The fraudulent prong reaches conduct likely to deceive the public. (*Committee on Children's Television, Inc. v. Gen. Foods Corp.* (1983) 35 Cal.3d 197, 211.) The TAC alleges an individualized dispute about a single private refinance closing and later communications concerning that closing. It identifies no public representation, advertising practice, or recurring conduct directed at consumers on which a "likely to deceive the public" finding could rest. (*Id.*)

Rocket Companies. The TAC concedes Rocket Companies had no pre-closing role and pleads its exposure only through enterprise level notice, escalation, routing, and refusal to coordinate cure. (TAC ¶¶ 8, 101.) For the reasons stated on the fraud causes, that is passive routing, not conduct within the UCL's reach, and the derivative UCL theory against Rocket Companies fails with the underlying Rocket Close causes.

Leave to Amend. The TAC follows two prior rounds of amendment. Plaintiff has repleaded the same non-qualifying escrow, premium, and settlement charges, and the newly added loss categories are traced to Oaktree's post-notice conduct rather than to Rocket Defendants. The burden of showing a reasonable possibility of amendment rests with Plaintiff, and Plaintiff has not carried it. (*Blank, supra*, 39 Cal.3d at 318.) Nor could she, because the standing and derivative failures, and the absence of public directed conduct are legal defects that no proffered fact would cure. (*Id.*)

Defendant Rocket Close, LLC's Demurrer as to the 1st, 3rd and 4th Causes of Action
OVERRULED.

Defendant Rocket Close, LLC's Demurrer as to the 6th and 8th Causes of Action

SUSTAINED WITHOUT leave to amend.

Defendants Rocket Close, LLC and Rocket Companies, Inc's Demurrer as to the 7th, 9th and 11th Causes of Action SUSTAINED WITHOUT leave to amend.

Defendants to file an answer within 15 days.

10.

CASE #	CASE NAME	HEARING NAME
CVPS2508295	LITTLE VS ROCKET CLOSE, LLC	MOTION TO STRIKE 3RD AMENDED COMPLAINT FOR BREACH OF CONTRACT/WARRANTY (OVER \$35,000) OF AUDREY LITTLE BY OAKTREE FUNDING CORPORATION

Tentative Ruling: A party may move to strike matters from an opposing party's pleading if it is irrelevant, false or improper. (See CCP §§ 435, 436(a).) A motion to strike may also target all or any part of pleadings not filed or drawn in conformity with the applicable laws, rules or orders. (CCP § 436(b).)

Rocket Defendants move to strike (1) the Fifth, Eighth, Ninth, Fourteenth, Fifteenth (as to Rocket Close), Sixteenth, and Seventeenth Causes of Action on the ground that they exceed the scope of the May 28, 2026 leave to amend order, and (2) the punitive damages allegations at TAC paragraphs 30 through 45 as directed at Rocket Companies under Civ. Code § 3294(b).

Plaintiff responds that the Court's July 2, 2026 order selected V19 as the operative pleading with awareness of a narrower V20, ordered Defendants to respond, and struck V20; that the August 24, 2026 clarification confirmed V19's operative status "for all purposes"; and that each challenged cause arises from the same loan, escrow, title, funding, recordation, and post-notice course. Plaintiff further contends the punitive allegations rest on specific enterprise level ratification conduct, including notice to the Office of the CEO of Rocket Companies, a personal response by Varun Krishna, alleged cross-entity directing authority, and designation of Heather Moldovan of Rocket Close Operations to review the matter.

Scope of leave. The July 2, 2026 order selected V19 as the operative TAC after Plaintiff disclosed the narrower V20 on the record. The August 24, 2026 minute order confirmed V19 as operative while permitting individual causes to be tested by demurrer or motion. On this record, V19's operative status forecloses striking causes with prejudice on the basis of the May 28 leave order alone. The Court has now tested each challenged cause on demurrer. The Eighth and Ninth Causes of Action as to Rocket Defendants are sustained without leave to amend, rendering the scope of leave objection to those causes moot. As to the Fifth, Fourteenth, Fifteenth, Sixteenth, and Seventeenth Causes, each arises from the same transactional predicate (the May 15 title report, the "No Change" escrow-log entry, the July 14–15 disbursement and recording, and the post-notice course) already litigated by Rocket Defendants. A strike "with prejudice" on scope of leave grounds is not warranted where V19 is the operative pleading and the challenged theories arise from the same operative facts.

Punitive damages. Civ. Code § 3294(b) requires an officer, director, or managing agent to have personally committed, authorized, or ratified the wrongful conduct with advance knowledge of its wrongful character. Rocket Defendants argue no punitive